

SW-B QUICK REFERENCE — v2

Trend Continuation (Pullback / Consolidation → Resumption) — Swing Trading — Stocks

v2 CHANGES: (1) VCP structure now MANDATORY — pullback must show 2+ contractions, each shallower, each on lower volume. A single pullback does NOT qualify. (2) RS percentile ≥ 80 vs SPY required at entry — quantitative leadership filter. (3) Journal expanded to capture VCP description and RS percentile.

1. GO / NO-GO (60S)

- **Trend:** price above rising 50SMA (preferably above 200SMA); weekly structure intact.
- **Sector:** sector/industry trend supports direction (avoid fighting tape).
- **VCP structure (v2):** pullback shows 2+ contractions, each shallower, each on lower volume.
- **RS percentile (v2):** ≥ 80 vs SPY at entry — required.
- **Trigger:** clear pivot level with room to next resistance; $\geq 2R$ planned.
- **Event check:** no unplanned earnings/binary risk within 3–5 days.

2. SETUP FILTERS (EOD)

- **Structure:**
 - 3–20 day pullback/consolidation toward 20EMA/50SMA or prior breakout level.
 - Range tightens; higher low forms; volatility contracts.
- **VCP requirement (v2 — mandatory):**
 - 2 or more contractions during the base/pullback.
 - Each contraction shallower than previous (e.g., -15% , -10% , -5%).
 - Each contraction on lower volume than previous.
 - Final contraction within 5–10% of pivot.
- **RS leadership (v2 — mandatory):**
 - RS percentile vs SPY ≥ 80 at entry.
 - RS line flat-to-rising during pullback (not making new RS lows).
- **Confirmation:**
 - RSI typically 40–60 during pullback; MACD stabilizing/turning up (confirmation only).
 - Breakout/reclaim shows volume expansion vs pullback volume.
 - ADX > 20 confirms trend strength.

3. ENTRY RULES

- **Entry type (pick ONE):**
 - Pullback entry (preferred): limit at 20/50 EMA or pivot with bullish candle confirmation after VCP completes.
 - Pivot-break entry: stop-limit above consolidation high with volume confirmation.
 - Retest entry: breakout then buy retest of pivot as support.
- **Acceptance rule:** breakout closing back inside range is a warning; repeated failures = no trade/exit.
- **No chase:** if extended beyond pivot, wait for pullback/retest or skip.

4. RISK, STOPS, SIZING

- **A+: 1.0%** equity risk; **A: 0.75%**; **B: 0.50%** (or skip).
- **Position size** = $\text{AccountRisk} / (\text{Entry} - \text{Stop})$.
- **Stop:** below pullback low / final VCP contraction / consolidation low (structure-first).
- Avoid obvious stop pools when structure allows; never widen stops.
- **Portfolio heat:** max total open risk 3.0%; max sector risk 1.5%.

5. TARGETS + MANAGEMENT

- **T1:** next resistance / measured-move zone.
- **T2:** continuation to 2R–4R depending on volatility and structure.
- **Default:** no partial at +1R unless immediate resistance; consider partial at +2R into resistance/earnings window.
- **Runner:** trail by higher lows or 20EMA once resumption is clean.
- **Add-ons** allowed only after +1R and formation of a new tight continuation.
- **Time stop:** if trigger fails to break within 5–10 sessions (momentum fades), exit.

6. EXITS + CIRCUIT BREAKERS

- **Hard exit:** stop hit or trend structure breaks (lower low / MA failure with volume).
- **Failure:** breakout closes back into range with distribution; repeated failed pivots.
- **Circuit breakers:** 3 losses in a row → pause new entries 3 sessions; rule violation → stop new entries for the week.
- **Execution routine:** EOD scan + tickets; lunch = alerts/stops/partial only.

7. PAPER-TO-LIVE (v2)

- Apply **25% performance haircut** to paper expectancy when projecting to live.
- Minimum 50 SW-B paper trades (30 minimum, 50+ preferred) before live consideration.
- Live gate: expectancy $\geq +0.20R$ after haircut; max consecutive loss streak tolerable at live size.
- Trade SW-B alone for 6 weeks before adding SW-A.

Internal Trading SOP v2 — use strict risk sizing; educational use only (not investment advice). Revised 2026-05-20

SW-B QUICK REFERENCE — Glossary

Acronyms and abbreviations used in this card and the full Swing Trading Plan.

Acronym	Meaning / Use
ADX	Average Directional Index — trend-strength indicator. ADX > 20 confirms trend in SW-B.
ATR	Average True Range — volatility measure used to size stops on volatile names.
EMA	Exponential Moving Average — 20 EMA used for trend trail, 50 EMA for trend confirmation.
EOD	End of Day — scan and routine timing after 4:00 PM ET close.
MA	Moving Average — generic term covering SMA and EMA.
MACD	Moving Average Convergence Divergence — momentum indicator (confirmation only).
MAE / MFE	Maximum Adverse / Favorable Excursion — worst loss / best gain reached during trade.
OCO	One-Cancels-Other order — bracket order pairing stop and target.
R / 1R	Risk Unit — dollar amount lost if stop hits. Outcomes expressed in R multiples.
RR	Reward-to-Risk Ratio — minimum 1.5:1, prefer 2:1+.
RS	Relative Strength — ticker performance vs benchmark. SW-B v2 requires RS percentile ≥ 80 vs SPY.
RSI	Relative Strength Index — momentum oscillator (0–100), confirmation only. Distinct from RS.
SEPA	Specific Entry Point Analysis — Mark Minervini's swing methodology; basis for VCP refinement.
SMA	Simple Moving Average — unweighted average of last N closes (e.g., SMA50, SMA200).
SOP	Standard Operating Procedure — this document.
SPY	SPDR S&P 500 ETF Trust — broad market benchmark for RS measurement.
SW-A / SW-B	Swing Playbook A (Bottoming) / Swing Playbook B (Trend Continuation).
T1 / T2	Target 1 / Target 2 — first and second profit objectives, set before entry.
U&R	Undercut & Reclaim — structural pattern used in SW-A.
VCP	Volatility Contraction Pattern — 2+ contractions, each shallower, each on lower volume. MANDATORY for SW-B v2.
VWAP	Volume-Weighted Average Price — session fair-value benchmark.

Glossary appendix — Internal Trading SOP v2. Educational use only. Revised 2026-05-20